recovery, and then again because their own actions create a life-long bias against Wall Street, banking, and the American economic system. That is not a good way to invest.

CHAPTER SUMMARY

Asset allocation drives your portfolio risk and return. A decision to change your allocation should be well thought out. Any change should be made with the care and diligence that you applied the first time you created your portfolio.

Allocation changes occur for many reasons. Three common reasons are (1) a change in your financial situation, (2) a decision to share your wealth with other people, and (3) investing over your tolerance for risk. The first two reasons for an allocation change can be done over time with the benefit of calmness and reflection. The third allocation can become emotionally charged unless you recognize the symptoms of too much risk early and deal with the situation appropriately.